possessions in India except Goa, Diu and Daman. The English Company fell out with the Dutch Company over the division of the spice trade of the Indonesian Islands. The intermittent war in India between the two powers, which had begun in 1654, ended in 1667, when the English gave up all claims to Indonesia while the Dutch agreed to leave alone the English settlements in India.

The Growth of the East India Company's Trade and Influence, 1600–1714

The English East India Company had very humble beginnings in India. By 1623 it had established factories (trading posts) at Surat, Broach, Ahmedabad, Agra, and Masulipatam. From the very beginning, it tried to combine trade and diplomacy with war and control of the territory where their factories were situated.

Conditions in the south were more favourable to the English as they did not have to face a strong Indian government there. The great Vijayanagar Kingdom had been overthrown in 1565 and its place taken by a number of petty and weak states. It was easy to appeal to their greed or overawe them with armed strength. The English opened their first 'factory' in the south at Masulipatam in 1611. But they soon shifted the centre of their activity to Madras, the lease of which was granted to them by the local Raja in 1639. The Raja authorised them to fortify the place, administer it, and coin money on condition of payment to him of half of the customs revenue of the port. Here the English built a small fort around their factory called Fort St. George.

Interestingly enough, from the very beginning this company of profit-seeking merchants was also determined to make Indians pay for the conquest of their own country. For example, the Court of Directors of the Company wrote to the Madras authorities in 1683:

> ... we would have you to strengthen and fortify our Fort and Town (Madras) by degrees, that it may be terrible against the assault of any Indian Prince and the Dutch power of India.... But we must